

Delta Electronics (2308 TT)

 Target price: **TWD3,088.00** (from TWD2,988.00)

 Share price (29 Sep): **TWD1,835.00** | Up/downside: **+68.3%**

5 4 3 2 1


Buy
 (unchanged)

Key beneficiary of the AI ASIC server trend

- Better-than-expected DC-DC AI server contribution from 2026E
- HVDC adoption rate should be higher-than-expected in 2028E
- Reaffirming our Buy (1) rating and raising 12M TP to TWD3,088

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What's new: We provide our views on Delta after c.4 months of share price weakness, driven by investor concerns on HVDC delays, and a slowdown in power consumption trend amid deceleration in Nvidia's GPU shipment growth YoY. We remain positive on Delta over 2026-28E, as rising AI ASIC server trend should drive a meaningful increase in DC-DC power module ASPs (vs. Nvidia's discrete form factor). We expect higher HVDC adoption from 2028E, driven by IT rack and power supply architecture changes.

What's the impact: Component shortages are the key near-term bottleneck. We attribute the recent share-price weakness to slower-than-expected revenue momentum in both 2Q26, due to vendor-sanction issue at Delta Thailand, and 3Q26E, due to a worsening shortage of power semiconductors. We believe the 2Q26 revenue shortfall was a one-off event, though 3Q26E growth is likely to remain constrained by the power-semi shortage. While supply capacity should improve, the supply-demand gap will likely persist for some time. That said, end-demand should remain sound. Given the continued improvement in revenue momentum, we still expect operating margin to reach a record-high of 18.3% in 3Q26.

Long-term growth drivers. We see Delta as a key beneficiary of the AI ASIC server trend. We were previously concerned that rising AI ASIC adoption could hurt Delta, as ASICs have lower thermal design power (TDP) than Nvidia GPUs, but now believe that Delta will benefit from rising content value of DC-DC power modules, as hyperscalers are more willing to spend on DC-DC modules (vs. discrete) despite higher initial cost given their superior energy efficiency. We forecast DC-DC power module revenue to reach c.TWD60bn in 2026E (vs. TWD9bn in 2025 and our prior estimate of c.TWD20bn for 2026E). This figure could increase further with rising ASIC usage in 2027. We also believe HVDC adoption rate could reach at least 50% in 2028E (vs. our prior expectation of 30%), as power supply architecture is becoming increasingly bulky (to accommodate aluminium capacitors inside power supply amid the super capacitor shortage). Limited space in IT racks would force customers to adopt more power racks and likely equip them with high voltage versions to improve efficiency.

What we recommend: We raise our 2026-28E EPS by 2-15% on higher HVDC contribution. We lift our 12M TP to TWD3,088 (from TWD2,988) based on a lower target PER of 49x (from 55x) to reflect market sentiment, (at the high-end of its past-3-year range of 11-50x) applied to our 1-year-forward EPS. Key downside risk: lower-than-expected demand.

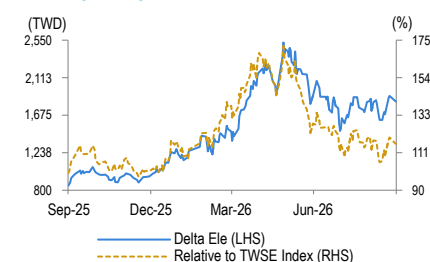
How we differ: Our 2028E earnings is 21% above the Bloomberg consensus, likely due to our more bullish assumption for HVDC adoption.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	1.9	5.0	14.2
Net profit change	1.7	3.1	14.6
Core EPS (FD) change	1.7	3.1	14.6

Source: Daiwa forecasts

Share price performance



12-month range	854.00-2,520.00
Market cap (USDbn)	149.32
3m avg daily turnover (USDm)	663.47
Shares outstanding (m)	2,598
Major shareholder	Hsiang Ta International (10.3%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	772,369	1,130,604	1,830,517
Operating profit (m)	139,487	228,659	406,934
Net profit (m)	104,917	165,332	296,181
Core EPS (fully-diluted)	40.391	63.649	114.023
EPS change (%)	74.5	57.6	79.1
Daiwa vs Cons. EPS (%)	(0.6)	(0.5)	20.7
PER (x)	45.4	28.8	16.1
Dividend yield (%)	0.6	1.1	1.6
DPS	11.6	20.0	30.0
PBR (x)	12.9	9.5	6.4
EV/EBITDA (x)	28.2	18.0	10.4
ROE (%)	32.9	38.1	47.6

Source: FactSet, Daiwa forecasts

Delta Electronics: revenue and earnings forecasts – Daiwa vs. consensus

(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	758,318	772,369	776,290	1,077,026	1,130,604	1,041,896	1,603,479	1,830,517	1,547,778
Diff (%)		1.9%	-0.5%		5.0%	8.5%		14.2%	18.3%
Gross Margin (%)	36.3%	36.4%	36.3%	36.4%	36.6%	37.3%	36.8%	37.4%	37.8%
Operating profit	136,739	139,487	140,319	218,460	228,659	226,483	354,257	406,934	337,447
Op Margin (%)	18.0%	18.1%	18.1%	20.3%	20.2%	21.7%	22.1%	22.2%	21.8%
Net profit	103,133	104,917	105,513	160,325	165,332	166,236	258,555	296,181	245,392
EPS	39.70	40.39	40.62	61.72	63.65	64.00	99.54	114.02	94.47
Diff (%)		1.7%	-0.6%		3.1%	-0.5%		14.6%	20.7%

Source: Bloomberg, Daiwa forecasts

Delta: quarterly and annual P&L statement

(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	159,353	183,256	203,032	226,728	227,803	262,584	301,325	338,892	554,885	772,369	1,130,604	1,830,517
COGS	-100,392	-117,948	-129,236	-144,028	-144,973	-165,994	-189,980	-215,565	-364,729	-491,604	-716,512	-1,146,765
Gross profit	58,961	65,308	73,796	82,700	82,830	96,590	111,345	123,327	190,157	280,765	414,092	683,753
Operating expenses	-30,544	-34,738	-36,546	-39,451	-39,638	-44,114	-48,815	-52,867	-106,224	-141,278	-185,434	-276,818
Operating profit	28,417	30,570	37,250	43,250	43,193	52,476	62,531	70,460	83,932	139,487	228,659	406,934
Non-operating profit	2,676	4,430	1,695	1,709	1,218	1,210	1,208	1,411	3,934	10,510	5,047	5,344
Pretax profit	31,093	35,000	38,946	44,959	44,410	53,686	63,739	71,871	87,866	149,997	233,706	412,278
Income taxes	-7,258	-7,831	-8,568	-9,891	-9,770	-11,811	-14,023	-15,812	-19,930	-33,548	-51,415	-88,640
Net profit	20,556	25,136	27,332	31,894	31,223	37,936	45,196	50,976	60,108	104,917	165,332	296,181
Net EPS (TWD)	7.91	9.68	10.52	12.28	12.02	14.60	17.40	19.62	23.14	40.39	63.65	114.02

Operating Ratios

Gross margin	37.0%	35.6%	36.3%	36.5%	36.4%	36.8%	37.0%	36.4%	34.3%	36.4%	36.6%	37.4%
Operating margin	17.8%	16.7%	18.3%	19.1%	19.0%	20.0%	20.8%	20.8%	15.1%	18.1%	20.2%	22.2%
Pre-tax margin	19.5%	19.1%	19.2%	19.8%	19.5%	20.4%	21.2%	21.2%	15.8%	19.4%	20.7%	22.5%
Net margin	12.9%	13.7%	13.5%	14.1%	13.7%	14.4%	15.0%	15.0%	10.8%	13.6%	14.6%	16.2%

YoY (%)

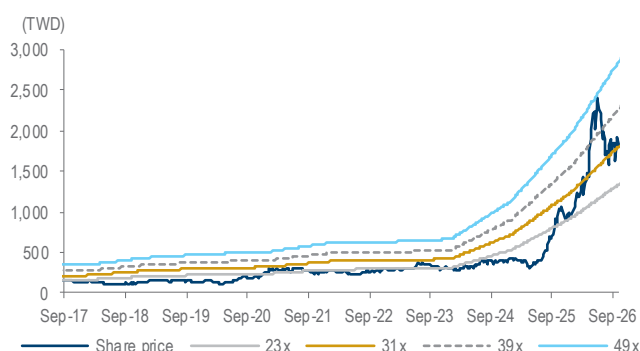
Net revenue	34%	48%	35%	40%	43%	43%	48%	49%	32%	39%	46%	62%
Gross profit	56%	48%	41%	48%	40%	48%	51%	49%	39%	48%	47%	65%
Operating profit	102%	64%	50%	64%	52%	72%	68%	63%	76%	66%	64%	78%
Pretax profit	99%	79%	44%	75%	43%	53%	64%	60%	71%	71%	56%	76%
Net profit	101%	80%	47%	84%	52%	51%	65%	60%	71%	75%	58%	79%

QoQ (%)

Net revenue	-1%	15%	11%	12%	0%	15%	15%	12%				
Gross profit	5%	11%	13%	12%	0%	17%	15%	11%				
Operating profit	8%	8%	22%	16%	0%	21%	19%	13%				
Pretax profit	21%	13%	11%	15%	-1%	21%	19%	13%				
Net profit	19%	22%	9%	17%	-2%	22%	19%	13%				

Source: Company, Daiwa forecasts

Delta: 1-year-forward PER band



Source: TEJ, Daiwa forecasts

Delta: product mix (yearly)

Product mix (TWDm)	2025	2026E	2027E	2028E
Power supply				
Server	63,046	76,230	93,520	113,763
AI server	61,351	167,394	317,839	737,386
Infrastructure				
Datacentre Infra	54,695	62,623	73,966	91,437
liquid cooling equipment	46,900	106,732	252,621	450,779
BBU	11,500	20,885	35,367	51,524
AI-related sales	174,446	357,633	679,792	1,331,125
% of mix	31%	46%	60%	73%
Server-related sales	237,492	433,863	773,312	1,444,888
% of mix	43%	56%	68%	79%

Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Automation revenue growth (YoY)	18	19	(0)	(3)	5	10	7	6
Infrastructure revenue growth (YoY)	(8)	26	(4)	2	82	46	68	54
Power Electronics sales growth (YoY)	21	21	9	(10)	25	47	42	76

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Power Electronics	187,316	227,311	248,257	223,992	280,032	412,588	584,196	1,030,133
Automation	45,881	54,519	54,296	52,403	54,943	60,345	64,800	68,944
Other Revenue	81,474	102,613	98,674	144,752	219,911	299,436	481,607	731,441
Total Revenue	314,671	384,443	401,227	421,148	554,885	772,369	1,130,604	1,830,517
Other income	0	0	0	0	0	0	0	0
COGS	(224,461)	(273,671)	(284,013)	(284,567)	(364,729)	(491,604)	(716,512)	(1,146,765)
SG&A	(31,642)	(37,564)	(40,215)	(47,354)	(57,482)	(75,990)	(95,620)	(141,409)
Other op.expenses	(27,202)	(31,770)	(36,048)	(41,575)	(48,743)	(65,288)	(89,814)	(135,409)
Operating profit	31,365	41,439	40,950	47,652	83,932	139,487	228,659	406,934
Net-interest inc./(exp.)	134	38	899	1,859	1,501	1,591	1,567	1,564
Assoc/forex/extraord./others	4,128	4,588	6,793	1,804	2,433	8,919	3,480	3,780
Pre-tax profit	35,628	46,065	48,642	51,316	87,866	149,997	233,706	412,278
Tax	(7,128)	(9,075)	(9,762)	(10,925)	(19,930)	(33,548)	(51,415)	(88,640)
Min. int./pref. div./others	(1,703)	(4,325)	(5,488)	(5,163)	(7,828)	(11,532)	(16,959)	(27,458)
Net profit (reported)	26,796	32,666	33,393	35,229	60,108	104,917	165,332	296,181
Net profit (adjusted)	26,796	32,666	33,393	35,229	60,108	104,917	165,332	296,181
EPS (reported)(TWD)	10.316	12.576	12.855	13.562	23.140	40.391	63.649	114.023
EPS (adjusted)(TWD)	10.316	12.576	12.855	13.562	23.140	40.391	63.649	114.023
EPS (adjusted fully-diluted)(TWD)	10.316	12.576	12.855	13.562	23.140	40.391	63.649	114.023
DPS (TWD)	5.500	5.500	9.840	6.430	7.000	11.600	20.000	30.000
EBIT	31,365	41,439	40,950	47,652	83,932	139,487	228,659	406,934
EBITDA	48,516	60,375	62,540	72,668	111,771	168,652	265,796	451,602

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	35,628	46,065	48,642	51,316	87,866	149,997	233,706	412,278
Depreciation and amortisation	17,151	18,936	21,590	25,016	27,839	29,164	37,138	44,667
Tax paid	(7,128)	(9,075)	(9,762)	(10,925)	(19,930)	(33,548)	(51,415)	(88,640)
Change in working capital	(20,506)	(20,062)	2,466	(2,538)	(24,348)	(79,476)	(110,688)	(146,647)
Other operational CF items	3,175	10,665	8,151	10,025	27,047	(175)	(80)	(80)
Cash flow from operations	28,319	46,529	71,086	72,895	98,474	65,964	108,660	221,579
Capex	(23,027)	(21,824)	(27,830)	(33,485)	(46,091)	(71,830)	(67,836)	(87,865)
Net (acquisitions)/disposals	(1,953)	(2,489)	(5,421)	(304)	(2,702)	0	0	0
Other investing CF items	(1,501)	(406)	(251)	(6,571)	(4,420)	0	0	0
Cash flow from investing	(26,481)	(24,719)	(33,502)	(40,360)	(53,214)	(71,830)	(67,836)	(87,865)
Change in debt	6,993	(1,900)	10,327	7,135	11,729	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(15,751)	(15,026)	(27,455)	(18,696)	(20,313)	(30,132)	(51,951)	(77,926)
Other financing CF items	421	(2,814)	6,651	444	(817)	0	0	0
Cash flow from financing	(8,337)	(19,739)	(10,478)	(11,118)	(9,401)	(30,132)	(51,951)	(77,926)
Forex effect/others	(2,358)	9,621	(1,198)	8,586	(2,146)	0	0	0
Change in cash	(8,857)	11,692	25,909	30,003	33,713	(35,998)	(11,127)	55,788
Free cash flow	5,292	24,705	43,257	39,410	52,383	(5,867)	40,824	133,714

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	51,268	63,572	92,620	121,793	155,113	119,115	107,988	163,776
Inventory	69,697	83,980	81,756	89,706	108,208	148,085	222,038	331,596
Accounts receivable	72,700	89,676	81,706	92,180	125,020	172,147	248,968	367,286
Other current assets	3,213	3,222	3,877	7,246	7,440	7,440	7,440	7,440
Total current assets	196,878	240,450	259,958	310,925	395,781	446,788	586,434	870,097
Fixed assets	76,607	86,267	98,002	115,710	142,040	184,706	215,404	258,602
Goodwill & intangibles	73,610	77,170	78,544	78,783	75,326	75,326	75,326	75,326
Other non-current assets	18,017	21,987	21,242	26,480	26,472	26,646	26,726	26,806
Total assets	365,112	425,874	457,747	531,898	639,619	733,466	903,890	1,230,832
Short-term debt	4,442	2,119	5,875	8,121	17,325	2,364	2,364	2,364
Accounts payable	54,570	62,716	53,539	69,223	94,452	101,981	142,066	223,295
Other current liabilities	49,157	60,179	66,671	74,939	97,888	97,888	97,888	97,888
Total current liabilities	108,169	125,013	126,085	152,283	209,665	202,234	242,318	323,547
Long-term debt	43,914	44,337	51,420	56,309	56,703	56,703	56,703	56,703
Other non-current liabilities	26,904	31,156	37,506	43,740	47,861	47,861	47,861	47,861
Total liabilities	178,988	200,507	215,011	252,332	314,230	306,798	346,883	428,112
Share capital	25,975	25,975	25,975	25,975	25,975	25,975	25,975	25,975
Reserves/R.E./others	128,811	160,813	173,188	204,112	242,083	343,361	473,701	719,413
Shareholders' equity	154,787	186,789	199,164	230,087	268,058	369,337	499,677	745,389
Minority interests	31,338	38,578	43,572	49,478	57,331	57,331	57,331	57,331
Total equity & liabilities	365,112	425,874	457,747	531,898	639,619	733,466	903,890	1,230,832
EV	4,794,918	4,787,955	4,774,739	4,758,607	4,742,738	4,763,776	4,774,903	4,719,115
Net debt/(cash)	(2,912)	(17,115)	(35,325)	(57,363)	(81,085)	(60,047)	(48,920)	(104,708)
BVPS (TWD)	59.590	71.910	76.674	88.579	103.197	142.187	192.365	286.959

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	11.3	22.2	4.4	5.0	31.8	39.2	46.4	61.9
EBITDA (YoY)	2.6	24.4	3.6	16.2	53.8	50.9	57.6	69.9
Operating profit (YoY)	(0.2)	32.1	(1.2)	16.4	76.1	66.2	63.9	78.0
Net profit (YoY)	5.1	21.9	2.2	5.5	70.6	74.5	57.6	79.1
Core EPS (fully-diluted) (YoY)	5.1	21.9	2.2	5.5	70.6	74.5	57.6	79.1
Gross-profit margin	28.7	28.8	29.2	32.4	34.3	36.4	36.6	37.4
EBITDA margin	15.4	15.7	15.6	17.3	20.1	21.8	23.5	24.7
Operating-profit margin	10.0	10.8	10.2	11.3	15.1	18.1	20.2	22.2
Net profit margin	8.5	8.5	8.3	8.4	10.8	13.6	14.6	16.2
ROAE	17.8	19.1	17.3	16.4	24.1	32.9	38.1	47.6
ROAA	7.6	8.3	7.6	7.1	10.3	15.3	20.2	27.7
ROCE	13.8	16.4	14.3	14.8	22.6	31.5	41.5	55.1
ROIC	14.6	17.0	15.7	17.5	27.8	35.5	40.8	53.0
Net debt to equity	net cash	net cash	net cash	net cash	net cash	net cash	net cash	net cash
Effective tax rate	20.0	19.7	20.1	21.3	22.7	22.4	22.0	21.5
Accounts receivable (days)	79.7	77.1	78.0	75.4	71.4	70.2	68.0	61.4
Current ratio (x)	1.8	1.9	2.1	2.0	1.9	2.2	2.4	2.7
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	56.1	53.3	78.2	50.0	51.6	50.1	49.5	47.1
Free cash flow yield	0.1	0.5	0.9	0.8	1.1	n.a.	0.9	2.8

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1971, Delta Electronics has been the global leader in switching power supply solutions since 2002 and DC brushless fans since 2006. Its business covers 3 key areas: power electronics (eg, power supplies, thermal management products and passive components), automation (eg, controllers, robot arms and building management systems), and infrastructure (eg, datacentre infrastructure, networking and EV charging).

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	1	Delta's board has 7 non-independent and 5 independent directors with a term of three years. The total number of directors and ratio of independent directors appear higher than most other listed companies. Besides, according to Delta's CSR report, enhancing the board's functions is one of the key goals for the company to achieve better corporate governance; also, the board members' diversity and professionalism will be taken into consideration to ensure a good board quality. Moreover, the company evaluates all the directors in the board using internal regulations and an external independent institution each year and at least once every three years, respectively. We believe Delta has implemented relatively more enhanced measure than most listed firms to improve its board quality.
	Capital management	2	During 2016-19, Delta's payout ratio was stable in the range of c.70%, but fell to 56% in 2020 and 53% in 2021. For 2020, it was mainly due to a sizeable non-cash re-valuation gain after the acquisition of Delta Thailand (DET), while the company maintained more cash on hand to deal with the uncertainties caused by COVID-19. However, the DPS growth from 2016 to 2021 was limited, as Delta struggled with business diversification into new end-markets (eg, smartphone, NEV). We believe that Delta's effort started to bear fruit in recent years after its NEV business has gradually picked up. Overall, we see a stable dividend policy from Delta and expect its DPS to continue to grow YoY in the future given that they declared a TWD11.6 DPS for 2025 which equals a 50% payout ratio.
	Related party & transaction	1	Revenue from related parties stood at 12% of total 2025 revenue and purchases from related parties were at 11%. We see limited risk from related party transactions.
S	Supply chain management	1	Delta focuses on: 1) localised management, 2) supplier certification and risk management, and 3) supplier sustainability engagement as key initiatives under the scope of supply chain management. In 2019, 144 new suppliers joined Delta's supply chain system. All of them passed environmental and social evaluations, signed the declaration of "non-use of conflict materials", and complied with Responsible Business Alliance's (BRA) Code of Conduct. Also, these vendors had to implement and abide by Delta's supply chain CSR policy and code of conduct. To lower ESG risks, Delta carries out RBA audits and monitors high-risk critical suppliers each year. The suppliers that fail these audits have to provide detailed improvement plans in response to identified issues. Besides, Delta has surveyed a total of 263 suppliers with potential risk and 63 suppliers with high risk of the total 1,331 suppliers, based on its CSR policy and code of conduct. If these suppliers are flagged as high-risk and no concrete improvements are made, Delta may consider terminating cooperation and transactions with them to improve the company's engagement on supplier sustainability. Overall, we think Delta has a solid plan to improve its supply chain management with specific KPIs, including: 1) achieving supplier improvement rate of 80% in 2025, 2) reducing GHG emissions rate of critical suppliers by 10% in 2025, and 3) improving water saving rate of critical suppliers by 12% in 2025.
S	Data security	2	Delta's Information Security team created Delta's Information Security Policy in November 2013 and started providing educational training to global employees in 2014. Delta gradually introduced the Information Security Management System (ISMS) in 2016 and obtained the ISO 27001 international certification in 2018. According to ISO27001, Delta has to conduct at least one internal audit on information security and appoint an independent institution to conduct audit externally. According to Delta, no major deficiencies have been found in recent years.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 30 Sep 2026

Source: Daiwa, Company

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Rating	Percentage of total
Buy*	72.63%
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Source: Daiwa

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